

Speaker Introduction – Eugene Kim

May 9th, 2026

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I. Speaker Overview

1. About Eugene Kim
2. Investment Philosophy

About Eugene Kim

Eugene Kim, a Head of Value Creation in IMM Private Equity and the firm's first female partner, has spend around 17 years spanning both deal execution and hands-on management of portfolio companies

Introduction



Key points

- BA in Computer Science from KAIST, MA in Business Administration from Seoul National University
- Currently a Partner/Head of Value Creation of IMM PE
- c. 17 years of career path spent at IMM PE with an exceptional competence in investing and operation

Media Highlights

“ *The first female partner in IMM PE's history* ”

- *Asiae [K-Investors]*, Feb 2024

“ *Praised for outstanding business leadership from investment to portfolio management* ”

- *CEO Score Daily*, Jun 2021

“ *Companies get back to life wherever she goes... the defining example of a PE investor who doesn't just buy companies...* ”

- *Asiae [K-Investors]*, Feb 2024

Career Path

2006-2009 BCG

Began her professional career at a top consulting firm



2009-Present IMM PE

Led buyout transactions including Hollys F&B, Linde Korea, etc.



2017-2020 CEO of Hollys F&B

Stepped in to lead Hollys through a full value-creation cycle



2021-2023 CEO of Able C&C

Engineered a turnaround of a struggling cosmetics group



2023-Present CEO of Hanssem

Leading Korea's largest furniture and home interior company



2023-Present Non-Executive Director of Able C&C

A non-standing board member following her tenure as CEO



2023-Present Vice President of IMM PE

Promoted to VP, becoming the first female partner in IMM PE



Investment Philosophy

IMM PE established a dedicated Operations Group to systematically drive value creation across its portfolio, with Eugene Kim appointed to lead the mandate from the very beginning

IMM PE's Focus on Operation

Establishment of the IMM Operations Group

2020

- As IMM PE's investment portfolio grew increasingly diverse and its scale expanded rapidly, the need arose to establish a dedicated in-house unit capable of driving portfolio value creation independently
- 
- IMM Operations Group was founded in 2020, and Eugene Kim was appointed as the head of the group, recognized for her extensive experience regarding both deal execution and direct management of portfolio companies

Global PEFs with dedicated operations units

KKR

CARLYLE

Morgan Stanley

Hahn & Company

AFFINITY EQUITY PARTNERS

MBK PARTNERS

...

- KKR Capstone is KKR's dedicated in-house operations subsidiary, founded in 2020, staffed by over 100 operational specialists, and covering strategy consulting, supply chain, digital transformation, and talent management
- Carlyle manages portfolio value creation through its affiliate AlInvest Partners, and Morgan Stanley PE also launched an operations unit called MSPI
- Hahn&Company has maintained an operations team separate from its investment team since its founding in 2010, and it now exists as a distinct entity called Hahn&Company CSG

Key quotes from Eugene Kim

1

*"At the end of the day, I've come to believe that work is accomplished through the **help and cooperation of others**. When I step into a company we've acquired, **many of the assumptions I came in with get challenged**. ... their thoughts are **broader and deeper** than mine."*

2

*"When you start operating a company, **the most important thing is making sure each person is working where they're best suited**. Put the talent that's already there in exactly the right seat, and the company transforms."*

II . Investment Sector Analysis

1. PE Industry Overview
2. Corporate PE Investment Types
3. Value Creation in LBO

PE Industry Overview

Korea's PEF market has expanded significantly since its 2006 introduction and subsequent regulatory reforms, with rapid growth in committed capital to ~KRW 153.6tn by 2024

Market System Development

2003 - 2005

- Practical details were specified through provisions governing PEF registration, management, investment scope, and obligations

2007 - 2020

Growth Phase

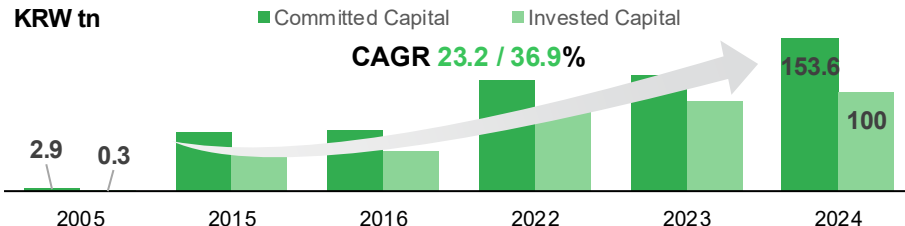
- Primarily focused on minority investments of a mezzanine/growth capital nature
→ Increase in large buyout investments led by domestic PE firms

2021 - 2026

System Reform & Reorganization Phase

- Enhanced operational flexibility and stronger investor protection

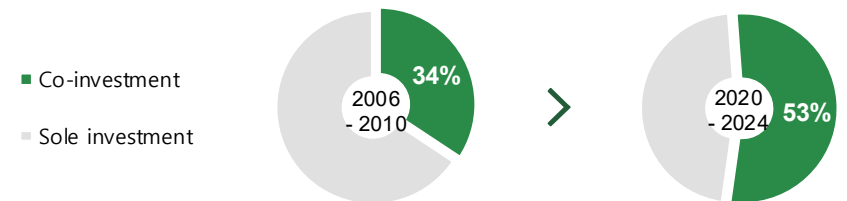
[Korea's PEF Capital Formation Trend]



Trend Shift

Changes in Investment Structure

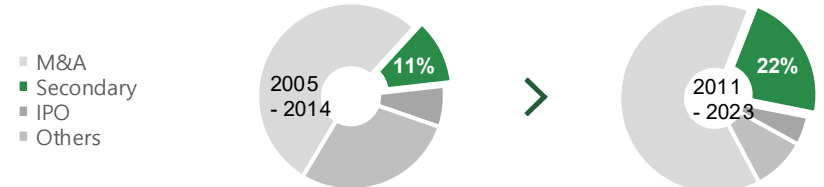
[Investment Method Breakdown (by Number of Deals)]



- Club deals and co-GP structures are becoming increasingly common as firms collaborate to address intensified competition in deal sourcing and capital raising.

Rising Importance of Secondary Buyouts

[Exit Strategy Breakdown (by Value)]



- Secondary buyouts (PE-to-PE transactions) have rapidly emerged as a key exit route, driven by alignment between GPs seeking to exit near-maturity assets and those under pressure to deploy dry powder amid intensifying competition for new deals.

Corporate PE Investment Types

LBO remains the core PE strategy, while recent large-cap deals are driven by trade sales, secondary exits, and selective PIPE investments

PE Deal Types

- PE deal types are distinguished by control, counterparty, and whether the transaction represents capital deployment or an exit

Leveraged Buyout(LBO)

- Acquisition of a controlling stake using a combination of sponsor equity and acquisition debt
- (Core PE strategy for value creation and control)

Growth Equity

- Minority investment in private companies with high growth potential, providing expansion capital without full control
- (Scale-up funding, pre-IPO capital, founder-led growth)

Distressed Investments

- Investment in financially troubled or underperforming companies/assets at discounted valuation
- (Turnaround, restructuring, special situations)

Mezzanine Financing

- Hybrid capital positioned between senior debt and equity, often with downside protection and upside participation
- (Acquisition financing, refinancing, sponsor support)

Top Private Equity Deals by Size in 2025

- Major Top 10 deals in 2025 included a total of 4 large-scale **trade sales**, **4 buyouts**, and one each of **PIPE** and **IPO** transactions
- Deals focused on the Energy/Infrastructure and B2B Services sectors

	Deal type	Target company	Investors	Sellers	Industry	Deal size
1	Trade Sale	DIG Airgas	Air Liquide	Alberta IM; Macquarie	Chemicals, Plastics & Rubber	KRW 4.6T (US\$3.1B)
2	Trade Sale	Hyundai LNG Shipping Co.	Frontier Resources	IMM	Energy & Utilities	KRW 3.8T (US\$2.7B)
3	Buyout	Renewus and Renewone	KKR	SK ecoplant	Business Services	KRW 1.7T (US\$1.2B)
4	Buyout	LG Chem's Water Solutions Division	Glenwood PE	LG Chem	Business Services	KRW 1.4T (US\$991M)
5	PIPE	Douzone Bizon	EQT (37.6%)	Chairman Young-woo Kim; Shinhan Financial Group	Software	KRW 1.3T (US\$930M)

Trade Sale & PIPE

Trade Sale

- Sale of Portfolio company shares to a strategic buyer
- Primary Objective) Exit / Monetization & Synergy Premium

PIPE (Private Investment in Public Equity)

- Minority investment in a listed company through private placement
- Primary Objective) Growth Capital / Opportunistic Entry

Value Creation in LBO

LBO remains the core value-creation strategy in private equity, where returns are driven by EBITDA growth, multiple expansion, and deleveraging through disciplined capital structure management

Value Creation in LBO

- LBO is the core return engine of private equity, where equity upside is driven by EBITDA growth, multiple expansion, and deleveraging through leverage

EBITDA Growth

- Improvement in operating earnings through revenue expansion and margin enhancement
- (Key Levers) Revenue growth, pricing power, product mix optimization, operational efficiency, cost reduction, bolt-on M&A

Multiple Expansion

- Exit valuation multiple exceeds entry multiple due to business quality improvement or market re-rating
- (Key Levers) Strategic repositioning, governance enhancement, improved scalability, sector re-rating, stronger peer benchmarking

Net Debt Paydown

- Reduction of acquisition debt using operating cash flow during the holding period
- (Key Levers) Strong free cash flow generation, disciplined capex, working capital optimization, refinancing efficiency

LBO Deal Case – IMM's Hollys F&B Buyout

Capital Structure Timeline

2013 - 2014	• Acquisition completed for KRW 45bn & Additional equity injection of KRW 37bn (All equity, no acquisition financing)
2016	• 1 st Recap (KRW 40bn)
2017 - 2020	• 2 nd Recap (KRW 65bn) & 3 rd Recap (KRW 110bn)

Why Delayed Leverage Made Sense

- Instead of maximizing leverage upfront, IMM chose to:
 - 1) Improve operations and EBITDA visibility
 - 2) Strengthen recurring cash flow generation
 - 3) Refinance later under better credit conditions
- This allowed IMM to execute a **dividend recapitalization**, substantially recover its initial equity investment, and still retain future upside.

Key-takeaway

- ✓ Effective LBO execution is less about maximizing leverage upfront and more about applying leverage at the right timing
- ✓ For consumer and franchise deals, preserving operational investment capacity can be more important than maximizing Day-1 debt

III. Investment Case Study

1. Hollys F&B
2. Able C&C

Portfolio – Hollys F&B

A textbook F&B buyout combining operational improvement with a staged exit strategy

Company Overview

- Founded in 1998, Hollys F&B is Korea's first espresso specialty coffee chain, predating Starbucks Korea by one year
- Operates 560+ stores nationwide with ~20% company-owned stores, ranked 4th largest coffee franchise in Korea by store count
- Owns proprietary infrastructure including a 2,600-pyeong roasting center in Paju and H-MAP, a big data system for store location analysis and operations
- IMM PE's first large-scale buyout deal, serving as the foundation for subsequent buyouts including Taelim Packaging, Daehan Electric Wire, and Able C&C



Key financials

(KRWbn)	2013A	2015A	2016A	2018A	2019A
Revenue	68.6	108.6	128.6	154.9	164.9
Gross Profit	20.9	28.8	36.3	40.7	41.4
<i>Margin (%)</i>	30.4%	26.5%	28.2%	26.3%	25.1%
EBITDA	10	14.2	21	26.1	47.4
<i>Margin (%)</i>	14.6%	13.1%	16.3%	16.9%	28.7%
EBIT	7	6.9	12.7	16.3	15.5
<i>Margin (%)</i>	10.2%	6.3%	9.9%	10.5%	9.4%
Net Income	3.6	4.6	9.1	12	9
<i>Margin (%)</i>	5.2%	4.2%	7.1%	7.7%	5.5%
Total Assets	63.9	90.4	105.2	109	191.4
Total Liabilities	14.4	24.3	30	30.3	105.2
Net Debt	-25.4	-10.1	-21.5	-4.6	-16.4

Key Milestones

- 2013**
 - Acquired Hollys F&B for KRW 82bn (All-equity, no acquisition financing)
- 2016**
 - 1st Recap (KRW 40bn)
 - 1st Exit Attempt Failed
- 2017**
 - CEO Eugene Kim Dispatched as Representative Director
- 2018**
 - Paju Roasting Center Completed (KRW 10bn Investment)
- 2019**
 - 2nd Exit Attempt Failed
- 2020.02**
 - 3rd Recap Completed (KRW 110bn), Full Capital Recovery
- 2020.09**
 - Successfully Exited to KG Group for KRW 145bn (Seller Financing Provided)

Entry vs Exit Valuation

- Despite multiple contraction from 8.3x to 3~4x EV/EBITDA, absolute enterprise value grew significantly driven by 5x EBITDA expansion

	Entry (2013)	Exit(2020)
EV/EBITA	8.3x	3~4x
EBITDA	KRW 9bn	KRW 47.4bn
Deal Size	KRW 82bn	KRW 145bn
Key Metrics	• All-equity structure (no acquisition financing)	• Revenue 2.4x growth (KRW 68.6bn → 164.9bn)
	• 384 stores nationwide	• OP margin recovered to 9.3%
	• Franchisee-heavy (90%+)	• 560 stores nationwide
		• Full capital recovery via 3 recaps
		• Total return ~2.77x MoIC

Portfolio – Hollys F&B

Through 3 recapitalizations, fully recovered KRW 82bn investment prior to exit — closing on the third attempt via seller financing after 4 years of exit negotiations

Value-Up Strategy

Invested KRW 10bn in Paju Roasting Center

- Korea's first proprietary roasting facility among coffee franchises
- Enabled full control over coffee quality and supply chain costs

Repositioned store network via H-MAP big data system

- Shifted from franchisee-heavy (90%+) to company-owned flagship stores in key districts • All company-owned stores achieved profitability

Rebranded and redesigned

- Store interiors and logo (red crown) to reinforce premium positioning • Launched Disney collaboration goods and seasonal MD products to drive customer loyalty

Executed 3 recapitalizations

- KRW 40bn → 65bn → 110bn, fully recovering KRW 82bn investment prior to exit — maximizing IRR flexibility in exit negotiations

IMM PE dispatched Kim Yujin as CEO

- Stabilizing operations and leading exit negotiations • Operating income grew from KRW 7bn (2013) to KRW 16.3bn (2018) under her leadership

Market Context

Positive

- ✓ Coffee franchise market continued to grow with rising café consumption
- ✓ Established national brand with scalable store network
- ✓ Upside from supply chain control, store mix optimization, and premium repositioning
- ✓ Strategic buyer interest expected from F&B platform players

Negative

- ✗ Intensifying competition from Starbucks, Ediya, Twosome, and low-cost coffee chains
- ✗ Franchise-heavy structure limited direct control over profitability
- ✗ Brand differentiation weakened in a crowded market
- ✗ Exit delayed by valuation gap and buyer financing constraints

Exit Attempt Analysis

- Fully recovered KRW 82bn investment through 3 recapitalizations prior to exit — ultimately closed at KRW 145bn via strategic seller financing, delivering ~2.77x total return

	1 st (2016)	2 nd (2019)	3 rd (2020)
Advisor	Deutsche	UBS	Goldman
Result	Failed	Failed	✓ KRW 145bn
Reason	Valuation gap	Multiple gap	Seller financing

Wrap - Up

1. Brand-first investment drove 5x EBITDA growth
2. Three recaps fully recovered KRW 82bn upfront
3. Closed via seller financing — prioritizing deal certainty

Portfolio – Able C&C

IMM PE acquired ABLE C&C for ~KRW 400bn in 2017, pursuing a consumer turnaround investment by capitalizing on brand undervaluation and operational inefficiencies

Company Overview

- Founded in 2000, ABLE C&C pioneered **Korea's road-shop cosmetics** market with flagship brand MISSHA, establishing strong first-generation K-Beauty brand equity
- Operates asset-light model with ODM partnerships enabling fast product cycles, holding KRW 136.1bn cash with zero debt despite H&B channel headwinds
- IMM PE's first large-scale consumer brand buyout, foundational deal for subsequent consumer sector portfolio expansion



Key Financials

(KRWbn)	FY21	FY22	FY23	FY24	FY25E
Revenue	248.0	247.9	253.8	264.0	242.0
Gross Profit	119.0	127.4	135.2	145.2	138.5
<i>Margin (%)</i>	<i>48.0%</i>	<i>51.4%</i>	<i>53.3%</i>	<i>55.0%</i>	<i>57.2%</i>
EBITDA	-20.2	19.9	21.4	29.7	25.0
<i>Margin (%)</i>	<i>-8.4%</i>	<i>8.0%</i>	<i>8.4%</i>	<i>11.2%</i>	<i>10.3%</i>
EBIT	-30.2	9.9	11.4	19.7	17.7
<i>Margin (%)</i>	<i>-12.2%</i>	<i>4.0%</i>	<i>4.5%</i>	<i>7.5%</i>	<i>7.3%</i>
Net Income	-38.4	5.2	6.8	12.5	10.8
<i>Margin (%)</i>	<i>-15.5%</i>	<i>2.1%</i>	<i>2.7%</i>	<i>4.7%</i>	<i>4.5%</i>
Total Assets	342.8	356.4	378.9	395.2	385.0
Total Liabilities	215.8	198.4	185.2	172.8	158.5
Net Debt	142.8	105.2	78.4	52.6	38.2

Key Milestones

2017.04	IMM PE acquisition (KRW 400bn)
2020	COVID-19 impact Operating loss KRW -68bn, Revenue decline -28%, 164 store closed
2021	CEO dispatch – Turnaround initiation IMM principal appointed as CEO, restructuring commenced
2023	Profitability restored & dividend begins Operating profit KRW 11.4bn
2024 - 2025	Growth trajectory & exit preparation Operating profit KRW 19.7bn, Overseas sales 50% A'pieu spin-off in progress (Samjeong KPMG)

Entry vs Exit Valuation

- Despite high entry premium at 20.4x EV/EBITDA on founder shares, blended valuation reduced to 14.4x through public tender offer structure.

	Entry (2017)	Target Exit (ongoing)
EV/EBITA	14.4x (blended) 20.4x (founder shares)	TBD (ongoing value-up)
EBITDA	KRW 30.5bn (est.)	KRW 20-25bn (normalized) - FY24: 29.7 actual
Deal Size	KRW 400bn	In progress (A'pieu spin-off)
Key Metrics	- Cash: KRW 136.1bn - Debt-free balance sheet - Overseas sales: 25%	- Overseas sales: 56% - OP margin: 7.5% - EBITA margin: 11.2% 4-year consecutive profit - Net debt reduced to KRW 52.6bn

Portfolio – Able C&C

Through 6 value-up strategies, achieved turnaround from operating loss of KRW -68bn (2020) to operating profit of KRW +19.7bn (2024), with 4 consecutive years of profitability and overseas sales expansion to 56%

Value-Up Strategy

Exited Offline Stores to Restore Profitability

- Closed all direct-owned and duty-free stores to reduce fixed costs
- Reduced store count from 603 in 2019 to 273 in 2023, followed by full exit in 2025

Streamlined Brand Portfolio Around Core Brands

- Focused resources on two core brands, MISSHA and A'PIEU
- Exited non-core brands to improve operational focus and marketing efficiency

Shifted to Multi-Channel Distribution

- Moved away from road-shop model toward multi-channel sales
- Expanded presence through Daiso, Musinsa, Aily, Olive Young, and online channels

Expanded Overseas Sales Channels

- Increased overseas sales mix from 25% in 2019 to 56% in 2024
- Entered 20K drugstores in Japan and 19K H&B stores in Europe

Installed New Leadership for Turnaround

- IMM PE dispatched Kim Yujin as CEO from 2021 to 2023
- Turned operating loss of KRW -70bn into operating profit of KRW +11.4bn

Initiated Dividend to Recover Investor Capital

- Initiated interim dividend in 2023 after profitability recovery
- Delivered 13.5% dividend yield, achieving partial capital recovery for investors

Market Context

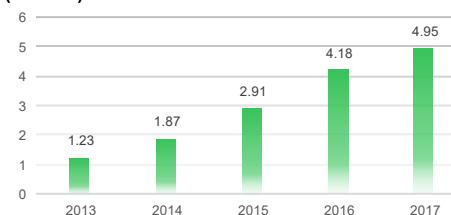
Positive

- ✓ K-Beauty global growth momentum
- ✓ 2016 performance recovery (Revenue KRW 434.6bn, OP KRW 24.3bn)
- ✓ Strong cash position (KRW 136.1bn, zero debt)
- ✓ First-generation brand equity with strong recognition
- ✓ Founder willing to sell, management control negotiable

Negative

- X THAAD deployment - China sales decline risk
- X H&B channel rise (Olive Young) - structural road-shop decline
- X Market share loss to Innisfree, The Face Shop
- X High entry premium (54% on founder shares, 20.4x EV/EBITDA)
- X Large equity raise concern (KRW 180bn)

(USD bn)



Status and Prospects of the South Korean Cosmetics Industry (2019).

WORLD | POLITICS

China wary of Thaad in South Korea as Beijing unsure about missile system's capabilities - report

The issue could be raised at the President Xi Jinping

By Pacific Online/Reuters
Published on April 2017 10:41 AM GMT

China's opposition to the deployment



Wrap - Up

1. Operational turnaround on undervalued K-Beauty brand facing structural headwinds
2. CEO dispatch achieved profitability recovery and 56% overseas expansion
3. Positioned for exit via A'pieu spin-off amid market recovery

End of Document
Team A

Appendix

IMM PE Vice President Yujin Kim Guest Lecture and Study Session

